

Figure 9.1 Variance Ratios: 15-Year Periods, 1954–2013

Source: Tony Cooper

In contrast to this, significant and consistent risk-adjusted profits from absolute momentum go back to 1903. With relative momentum, results extend even farther back, to 1801. As far as I know, there is no other backtesting in financial markets that is based on this much data.

Having plenty of data lets you see how consistent and stable your results are across a wide range of market conditions, and whether or not they depend on just a few periods of short-term outperformance. Worst-case scenarios, in particular, are highly dependent on the amount of past data that is available. The statistician W. Edwards Deming once said, “In God we trust; all others bring data.” With these caveats in mind, let us look at some alternative ways of determining price trends that are in keeping with the principles underlying absolute momentum. We will also examine some possible enhancements to relative strength momentum.

ABSOLUTE MOMENTUM REVISITED

There have been many attempts by practitioners over the years to engage in market timing and determine price trends. Before the decade of the 2000s, there was common agreement among most academics that market timing does not work. The statement of Malkiel (1995) was typical at the time: “Technical analysis is anathema to the academic world. We love to pick on it.” Just the words “market timing” would shut down most academic’s and many practitioner’s brain synapses.

After publication of the paper “Simple Technical Trading Rules and the Stochastic Properties of Stock Returns,” by Brock et al. in 1992, academic attitudes toward technical analysis and trend-following methods slowly started to change. Brock et al. applied 26 technical trading rules to the Dow Jones Industrial Average (DJIA) from 1897 through 1986. Their results reduced data-snooping bias by reporting all possible results, using a very long data set, and looking for robustness across various subperiods. They were also among the first to extend standard statistical tests using bootstrap techniques. Overall, their results supported the use of technical trading